

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT'S MEMORANDUM IN OPPOSITION TO
RESPONDENTS' MOTION FOR RECONSIDERATION OR LEAVE TO APPEAL**

TABLE OF CONTENTS

PRELIMINARY STATEMENT.....	1
ARGUMENT	3
I. Respondents’ Motion for an Interlocutory Appeal Fails.	3
A. Commission Rule 221(a) Does Not Permit an Interlocutory Appeal Because Respondents Have Not Demonstrated Substantial Delay, Expense, Detriment to the Public Interest, or Undue Prejudice.	3
i. Respondents Cannot Show that an Interlocutory Appeal Will Prevent Substantial Delay Because Such an Appeal Would Actually Cause Delay.	4
ii. Respondents Have Not Pointed to Any Facts Showing that an Interlocutory Appeal Will Prevent Substantial Expense or Detriment to the Public Interest.	6
iii. Respondents Have Not Shown that Denying Their Motion for Interlocutory Appeal Will Result in Undue Prejudice.	7
B. The Presiding Officer’s Holdings are Correct.	9
i. The Order Is Not an Inappropriate Advisory Opinion.	9
ii. The Order Accurately States and Applies the Substantive Law.	11
C. Respondents’ Cited Cases Are Inapposite.	14
II. Respondents’ Motion for Reconsideration Fails.	16
A. Respondents Have Failed to Provide Any Procedural Basis for the Presiding Officer to Reconsider the Order.....	18
B. Respondents Have Failed To Identify Any Clear Error of Law.....	19
CONCLUSION.....	19

TABLE OF AUTHORITIES

Cases

<i>Amzone Int’l, Inc. v. Hyundai Merchant Marine Co.</i> , 27 S.R.R. 386 (FMC 1995)	4
<i>Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.</i> , 30 S.R.R. 991, 2006 WL 2007808 (FMC May 10, 2006)	13, 14
<i>Brookens v. United States</i> , 308 F.R.D. 14 (D.D.C. 2015)	18
<i>Cargo One, Inc. v. Cosco Container Lines Co., Ltd</i> , 28 S.R.R. 1635, 2000 WL 1648961 (FMC Oct. 31, 2000)	13
<i>Carolina Marine Handling, Inc. v. S.C. State Ports Auth. et al</i> , FMC No. 99-16, 2000 WL 1072111 (ALJ July 12, 2000)	16
<i>First Am. Corp. v. Al-Nahyan</i> , 948 F. Supp. 1107 (D.D.C. 1996).....	4
<i>Friends of Everglades v. S. Fla. Water Mgmt. Dist.</i> , 570 F.3d 1210 (11th Cir. 2009)	10
<i>GEOMC Co. v. Calmare Therapeutics Inc.</i> , 918 F.3d 92 (2d Cir. 2019).....	10
<i>In Def. of Animals v. Nat’l Insts. of Health</i> , 543 F. Supp. 2d 70 (D.D.C. 2008).....	17
<i>Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.</i> , 29 S.R.R. 306 (FMC 2001)	4
<i>Intermodal Motor Carriers Conference v. OCEMA</i> , FMC No. 20-14, 2021 WL 409620 (ALJ Jan. 29, 2021)	5
<i>Intermodal Motor Carriers Conference v. OCEMA</i> , FMC No. 20-14, 2023 WL 1963455 (ALJ Feb. 6, 2023)	15
<i>Jud. Watch, Inc. v. Nat’l Energy Pol’y Dev. Grp.</i> , 233 F. Supp. 2d 16 (D.D.C. 2002)	4, 9
<i>Mitsui O.S.K. Lines, Ltd. v. Global Link Logistics, Inc.</i> , FMC No. 09-01, 31 S.R.R. 1432 (ALJ Aug. 13, 2010)	17

<i>Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc. v. United States</i> , 883 F.2d 93 (D.C. Cir. 1989)	12
<i>Odyssea Stevedoring of P.R., Inc. v. P.R. Ports Auth. Int’l Shipping Agency Inc.</i> , FMC Nos. 02-08, 04-01 & 04-06, 2007 WL 666764 (ALJ Feb. 12, 2007).	16
<i>Shrader v. CSX Transp., Inc.</i> , 70 F.3d 255 (2d Cir.1995)	17
<i>SSA Terminals LLC v. City of Oakland</i> , FMC No. 09-08, 2010 WL 8367622 (ALJ Dec. 21, 2010)	7
<i>Stewart v. Panetta</i> , 826 F. Supp. 2d 176 (D.D.C. 2011)	17
<i>Virtual Def. and Dev. Int’l, Inc. v. Republic of Moldova</i> , 133 F. Supp. 2d 9 (D.D.C. 2001)	4, 7
<i>Wan Hai Lines, Ltd. – Possible Violations of 46 USC § 41102(c)</i> , FMC No. 21-16, 2023 WL 1963464 (FMC Feb. 9, 2023)	16

Statutes

28 U.S.C. § 1292(b)	4, 9
46 U.S.C. § 40502(f).....	7, 13
46 U.S.C. § 41102(c)	8, 10, 11, 12
46 U.S.C. § 41104(a)(2).....	7, 13

Rules

46 C.F.R. § 502.12	16
46 C.F.R. § 502.221(a).....	2, 3, 4, 6
46 C.F.R. § 502.221(c).....	3
46 C.F.R. § 502.221(d).....	5
46 C.F.R. § 502.261	16

46 C.F.R. § 502.262	16
Fed. R. Civ. P. 54(b)	16, 17
<i>Interpretive Rule on Demurrage and Detention under the Shipping Act</i> , 85 Fed. Reg. 29638 (May 18, 2020)	12

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through its undersigned counsel, respectfully submits this Memorandum in Opposition to Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited’s (collectively, “Respondents”) Motion for Reconsideration or Leave to Appeal dated October 13, 2023 (the “Motion”), and states as follows in support of such opposition.

PRELIMINARY STATEMENT

Respondents’ Motion is an odd one. Typically, motions to reconsider or appeal are filed when an ultimate issue is resolved *against* the movant. But the Presiding Officer’s September 28, 2023 Order (FMC Docket No. 29, the “Order”) does not resolve any claim or defense, or any element of any claim, against Respondents. In fact, under the Order, all three of Respondents’ defenses expressly *survived* Complainant’s motion for partial decision on the pleadings. Sometimes a motion for reconsideration or appeal is filed when an order deprives the movant of discovery critical to its case—but again, the Order did nothing of the sort, and instead limited *Complainant’s* discovery requests, not Respondents’. At bottom, Respondents’ goal appears to be to delay this proceeding and short-circuit the adjudicatory processes of the Federal Maritime Commission (the “Commission” or “FMC”) just so Respondents can complain to the full Commission about certain claimed “dicta” in the Order, before a factual record is developed, an initial decision is reached, or any claims or defenses are resolved. For the reasons discussed herein, Respondents’ Motion is meritless, and should be denied.

The Motion specifically seeks to overturn the Presiding Officer’s well-reasoned Order, in which the Presiding Officer *denied* Complainant’s Motion for Partial Decision on the Pleadings brought with respect to certain of Respondents’ Affirmative Defenses in their Answer to Verified Complaint (FMC Docket No. 13) and *granted* Respondents’ motion for entry of a protective order

in connection with certain of Complainant’s discovery requests. (FMC Docket No. 25.) The Order properly analyzed the elements required on such a motion—including the legal merits and contours of each challenged affirmative defense—and ultimately determined that none of the affirmative defenses was ripe for dismissal at that early phase of the proceeding. The present Motion, which curiously seeks to uphold the ultimate ***holding*** of the Order while stripping it of the legal analysis ***underlying*** that holding, fundamentally misunderstands the nature and legal standards governing motions to reconsider and interlocutory appeals and fails to satisfy any of the strict requirements for either type of extraordinary relief requested.

As an initial matter, Respondents’ request for leave to seek an interlocutory appeal fails to establish any of the four elements required to warrant an interlocutory appeal under Commission Rule 221(a), 46 C.F.R. Section 502.221(a). First and foremost, an appeal is inappropriate because the Order explicitly withheld final judgment on any issues in light of the early posture of the case and the need for discovery. Second, the Order’s analysis and determinations were correct. Further, an appeal will not prevent substantial delay or expense, and will instead ***cause*** undue delay, as Respondents have not sought to stay discovery and full briefing on the merits is imminent. Finally, full briefing on the merits in early 2024 will have no detriment to the public interest, and no undue prejudice exists because (1) the Order does not make any final determinations regarding the parties’ claims or defenses and (2) Complainant, having filed for bankruptcy, would be prejudiced by any delay in discovery and the resolution of this matter.

Respondents’ alternative request that the Presiding Officer grant “reconsideration” of the Order similarly fails. Respondents’ Motion does not even articulate the legal standard governing such a motion, let alone demonstrate any basis for reconsideration beyond Respondents’ dislike of certain claimed “dicta” contained in the Order. Respondents’ mere disagreement with the Presiding

Officer's legal conclusions does not create the manifest injustice or clear error required to disturb that Order.

For these reasons, and as further detailed below, the Presiding Officer should deny Respondents' improper attempt to seek extraordinary relief through a motion for reconsideration and/or an interlocutory appeal to attack matters that the Respondents themselves characterize as "dicta". Denying the motion will allow the parties to develop a full factual record to support a comprehensive Initial Decision following discovery. Then, *and only then*, should the parties have the opportunity, consistent with well-settled Commission procedure, to challenge portions of the Initial Decision before the full Commission. The Motion should be denied.

ARGUMENT

The Motion consists of a Motion to Reconsider as well as an alternatively pled Motion for Leave to File an Interlocutory Appeal. Complainant first addresses the Motion for Leave to File an Interlocutory Appeal and then addresses the equally meritless Motion to Reconsider.¹

I. Respondents' Motion for an Interlocutory Appeal Fails.

A. Commission Rule 221(a) Does Not Permit an Interlocutory Appeal Because Respondents Have Not Demonstrated Substantial Delay, Expense, Detriment to the Public Interest, or Undue Prejudice.

Commission Rule 221(a) provides that "rulings of the presiding officer may not be appealed . . . if the proceeding is still before him or her, except where the presiding officer finds it necessary to allow an appeal to the Commission to prevent [1] substantial delay, [2] expense, or

¹ Respondents included with their 6-page Motion a 26-page "Appeal of Erroneous Rulings in the Presiding Officer's Order Dated September 28, 2023". Motion Attachment 1. In the event the Presiding Officer were to grant Respondents' Motion for leave to file an interlocutory appeal, Complainant respectfully requests, pursuant to 46 C.F.R. Section 502.221(c), that the Presiding Officer grant Complainant fifteen (15) days from the date of such grant to file its response to Respondents' proposed Appeal or, in the alternative, to treat this Memorandum in Opposition as a response to Respondents' proposed Appeal.

[3] detriment to the public interest, or [4] undue prejudice to a party.” 46 C.F.R. § 502.221(a).² It is an “extraordinary step” to grant leave to petition the Commission “to overturn the ALJ’s jurisdictional ruling denying [a] motion to dismiss.” *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 S.R.R. 306, 315 (FMC 2001). For this reason, interlocutory appeals are rarely permitted and the party seeking interlocutory review “bears the burden of showing that exceptional circumstances justify a departure from the basic policy of postponing appellate review until after the entry of final judgement.” *Virtual Def. and Dev. Int’l, Inc. v. Republic of Moldova*, 133 F. Supp. 2d 9, 22 (D.D.C. 2001) (internal quotation marks omitted). Mere disagreement, even if vehement, with a court’s ruling on a motion to dismiss does not establish a “substantial ground for difference of opinion” sufficient to warrant an interlocutory appeal. *First Am. Corp. v. Al-Nahyan*, 948 F. Supp. 1107, 1116 (D.D.C. 1996). As shown in detail below, Respondents’ motion is devoid of any facts or law showing that an appeal to the Commission satisfies any of the requirements of Commission Rule 221(a) or applicable federal law.

i. Respondents Cannot Show that an Interlocutory Appeal Will Prevent Substantial Delay Because Such an Appeal Would Actually Cause Delay.

Respondents cannot show that their requested interlocutory appeal will prevent substantial delay. To the contrary, allowing respondents’ Motion for Interlocutory Appeal will *create*

² In interpreting Commission Rule 221(a), the Commission has held that it is appropriate to look to the procedures established for the district courts for guidance in determining whether an interlocutory appeal is appropriate. See *Amzone Int’l, Inc. v. Hyundai Merchant Marine Co.*, 27 S.R.R. 386, 389 (FMC 1995). In federal courts, interlocutory appeals are permissible if a trial judge certifies that an otherwise unappealable order (1) involves a controlling question of law; (2) offers substantial ground for difference of opinion as to its correctness; *and* (3) the decision, if appealed immediately, would materially advance the ultimate termination of the litigation. 28 U.S.C. § 1292(b). “[A] controlling question of law is one that would require reversal if decided incorrectly or that could materially affect the course of litigation with resulting savings of the court’s or the parties’ resources.” *Jud. Watch, Inc. v. Nat’l Energy Pol’y Dev. Grp.*, 233 F. Supp. 2d 16, 19 (D.D.C. 2002). Here, the Presiding Officer has made no final decision on any issue that controls the outcome of the case (Motion at 5) and, as discussed herein, the current Scheduling Order calls for final briefing on the merits in a matter of months, meaning that an appeal would have no realistic chance of accelerating a final determination of the issues presented.

substantial delay from the extra expense of *appealing an issue that has not yet been finally decided on the merits*.

As the Presiding Officer correctly recognized in another recent matter, “[p]iecemeal litigation of issues in contention is more likely to result in greater delay and expense to the parties than a complete decision presented to the Commission for review.” *Intermodal Motor Carriers Conference v. OCEMA*, FMC No. 20-14, 2021 WL 409620, at *7 (ALJ Jan. 29, 2021). As described in detail below, the Order repeatedly and explicitly states that it has not made any final determinations about the scope of the parties’ claims or affirmative defenses. Consequently, an interlocutory appeal now, on *less than all issues presented*, and from an Order that *did not resolve* any of the parties’ claims or affirmative defenses and *was issued prior to discovery*, would only cause delay by sending unripe issues to the Commission that only resolve a fraction of the total issues present in this proceeding.

Respondents’ argument that the parties will endure “five or more more [sic] years” of litigation absent interlocutory appeal (Motion at 2) is entirely speculative and overlooks key facts: the parties are fewer than three months from the current close of discovery on January 12, 2024; full briefing will commence in mere months; and Respondents never sought any stay of discovery through the appeal process, so those costs will be incurred regardless of the outcome of the Motion.³ Moreover, the parties carefully negotiated an ESI Protocol with timing and costs in mind, and Complainant has already produced over 150,000 documents in discovery and is ready to proceed expeditiously to an Initial Decision.⁴

³ The Motion does not seek a stay during the pendency of the appeal, and “[u]nless otherwise provided, the certification of the appeal will not operate as a stay of the proceeding before the presiding officer.” 46 C.F.R. § 502.221(d).

⁴ Notably, Respondents are well behind Complainant in complying with their discovery obligations. Complainant made its first substantial production on October 2, 2023, and a second, larger production on October 19. Complainant sent Respondents a letter on October 19, 2023, inquiring about Respondents’ failure to produce *any* documents as of

Respondents’ argument that altering the Order could lead to an early conclusion of litigation falls flat. (Motion at 5–6.) Of course, any litigant would prefer that every decision always go 100% in its favor, as such a record would make it easier to resolve any case on favorable terms. Complainant, for example, would have preferred that the Presiding Officer grant the motion for partial decision on the pleadings and order even broader discovery, and could argue that if the Presiding Order had done so, this proceeding would be more likely to end in a prompt settlement. But wishful thinking does not satisfy Commission Rule 221(a) or provide grounds for an extraordinary interlocutory appeal.

In any event, because Respondents never requested a stay of the current case schedule, including discovery, all pertinent issues will soon be comprehensively presented to the Presiding Officer for resolution in an Initial Decision. Because the Respondents’ prediction of five more years of litigation is wildly unfounded, and because the “delay” in seeking a full merits-based decision from the Presiding Officer is a matter of months, not years, Respondents cannot demonstrate that any substantial delay will result without the extraordinary remedy of an interlocutory appeal.

ii. Respondents Have Not Pointed to Any Facts Showing that an Interlocutory Appeal Will Prevent Substantial Expense or Detriment to the Public Interest.

Satisfying the “substantial expense” element of Commission Rule 221(a) is extraordinarily difficult. In fact, the only instance in which an ALJ appears to have granted such an appeal in light of substantial expense and detriment to the public interest was in *SSA Terminals LLC v. City of*

that date. In responding to Complainant’s inquiry, Respondents indicated that they *did not even start collecting* documents until *after* the Presiding Officer issued the Order. Respondents made their first partial production on October 25, 2023. This asymmetry in discovery and readiness—especially given that Respondents’ Motion for a Protective Order did not seek relief from all of Complainant’s requests for production, but only a subset—might be one motivating factor behind Respondents’ efforts to delay this proceeding.

Oakland, FMC No. 09-08, 2010 WL 8367622, (ALJ Dec. 21, 2010). The Administrative Law Judge (“ALJ”) in that case held that denying the motion for leave to appeal would cause the respondent, the Port of Oakland, to incur substantial expense from expending *public funds* on litigation, resulting in detriment to the public interest. *Id.* at *3. In this case, Respondents cannot link the elements of substantial expense and detriment to the public interest because they are not governmental entities that spend public funds to litigate. Indeed, Respondents’ only mention of expense in the Motion is utterly conclusory, stating simply that an interlocutory appeal *may* prevent “delay and expense”, and their only mention of detriment to the public interest is a bare recital of Rule 221(a), without any factual support. (Motion at 2.) Respondents bear the burden of satisfying Rule 221(a) (*see Virtual Def. and Dev. Int’l, Inc.*, 133 F. Supp. 2d at 22), and they have failed to do so with respect to the essential elements of substantial expense and detriment to the public interest, especially in light of the Commission’s preference to review appellate issues on a full record and after the Presiding Officer has issued an Initial Decision on the merits.

iii. *Respondents Have Not Shown that Denying Their Motion for Interlocutory Appeal Will Result in Undue Prejudice.*

Denying Respondents’ Motion for Interlocutory Appeal will not result in undue prejudice. *First*, Respondents have suffered no prejudice from the Order because the Order *did not resolve any claim or defense* and the parties will have the ability to present their full positions very soon following the end of discovery.

Second, and relatedly, the Order repeatedly and explicitly states that it has not made any final decision on the rights of the parties, so no undue prejudice exists where the Respondents will have the opportunity to make their arguments once discovery has been completed. On Respondents’ first and second affirmative defenses, challenging the Commission’s subject-matter jurisdiction pursuant to 46 U.S. Code Sections 41104(a)(2) and 40502(f), the Order explained:

determination of whether this affirmative defense is plausible depends on whether the evidence involves elements peculiar to the Shipping Act or just a breach of contract, and such evidence has not yet been fully developed. Such a determination is premature at this point in the proceeding, when discovery has not been completed ***If, after discovery, the facts show that this is no more than a breach of contract claim, Respondents may assert this defense.***

(Order at 8 (emphasis added).) As to the first affirmative defense and the scope of 46 U.S. Code Section 41102(c), the Order similarly held that “[l]ike the other issues raised by the pleadings motion, the ultimate determination [of the merits] will not be made until after discovery and briefing.” (Order at 10 (discussing 46 U.S.C. § 41102(c).) In other words, no prejudice can result from the Order because the Order has not resolved any rights of the parties, who must still undertake discovery and prove their positions on the merits. Respondents appear to recognize the Order’s lack of finality on the merits of their affirmative defenses, as they repeatedly refer to the portions of the Order to which they object as “dicta” or “advisory”. (Motion at 1–6.) Respondents’ admission that these portions are non-binding “dicta” that do not govern the outcome of the proceeding fatally undermines any possibility of showing that such “dicta” could prejudice Respondents in any way.

Third, to the extent that the Respondents might, in the future, seek a stay of discovery during the pendency of the requested appeal, such a stay would cause undue prejudice to Complainant that outweighs any possible benefit to Respondents. Such a stay would result in undue prejudice to the Complainant because (1) the Complainant has entered into a Stipulated Preservation Plan to provide for the preservation of its documents and files, while the Respondents have not done the same, increasing the likelihood that critical evidence could be lost, and (2) Complainant is an entity that filed for bankruptcy, wound down operations, and whose employees have departed, and over time their memories will fade and potential witnesses will become harder to locate. It is imperative to gather relevant information now, while still available.

Fourth, under the current Scheduling Order, Respondents will soon have the opportunity to argue the merits fully after substantial discovery. For these reasons, Respondents have not shown that they will be unduly prejudiced by denial of an interlocutory appeal. Instead, the unnecessary delay and confusion caused by an interlocutory appeal of non-binding “dicta” would only delay the proceeding and prejudice Complainant.

B. The Presiding Officer’s Holdings are Correct.

The Order does not offer “substantial ground for difference of opinion as to [the Order’s] correctness”, as required under the 28 U.S. Code Section 1292(b) standard for an interlocutory appeal. *Jud. Watch, Inc.*, 233 F. Supp. 2d at 19. Instead, the Order’s analysis was sound, reasonable, and well-supported, so there is no basis for an interlocutory appeal.

Respondents appear to attack the Order’s legal basis as (1) an inappropriate advisory opinion issued “without allowing Respondents a full opportunity to brief the questions” (Motion at 2, 5) that (2) incorrectly ruled on the state of the law. To the contrary, the legal reasoning of the Order was not only appropriate to resolve the legal issues presented but was also correct in its determinations. The Motion presents a mere disagreement with the Presiding Officer’s analysis, and accordingly does not warrant reconsideration.

i. The Order Is Not an Inappropriate Advisory Opinion.

Despite Respondents’ citationless insistence to the contrary, the Order does not contain any inappropriate advisory opinions. Respondents’ Motion misstates the work of the Presiding Officer in resolving Complainant’s motion for partial decision on the pleadings, inaccurately claiming that the only question facing the Presiding Officer on that underlying motion was “whether the pleadings were sufficient to render the defenses plausible . . .” (Motion at 2) and that the Order somehow issued an improper advisory opinion outside that scope. Respondents are wrong. An advisory opinion is defined as “one unnecessary to the judicial business at hand”, such as the

determination of issues that are moot or irrelevant. *See, e.g., Friends of Everglades v. S. Fla. Water Mgmt. Dist.*, 570 F.3d 1210, 1216 (11th Cir. 2009). The Order appropriately set forth the elements for striking an affirmative defense, which required Complainant to show “(1) there is no question of fact which might allow the defense to succeed; (2) there is no question of law which might allow the defense to succeed; and (3) the plaintiff would be prejudiced by inclusion of the defense.” (Order at 3 (quoting *GEOMC Co. v. Calmare Therapeutics Inc.*, 918 F.3d 92, 96 (2d Cir. 2019)).) Thus, the second element required the Presiding Officer to analyze whether there is a question of law which might allow the defense to succeed.

The Order’s analysis of the merits of Respondents’ affirmative defenses thus was not mere “dicta” or an unnecessary advisory opinion on issues outside of the business at hand, but instead constituted a *necessary analysis* of the legal sufficiency of the affirmative defenses. Indeed, many of the portions of the Order that Respondents deem “inappropriate” squarely address *arguments Respondents themselves raised* regarding the scope of the Shipping Act and whether the Commission has jurisdiction over certain issues. (Order at 9–10 (addressing OOCL’s arguments regarding the scope of 46 U.S. Code Section 41102(c)).) To that end, as to the first affirmative defense, the Order made the requisite findings and explicitly found that “BBBY has not established that this affirmative defense is not plausible in context or legally insufficient” (Order at 9.)

Respondents’ claim that the Presiding Officer did not “allow[] Respondents a full opportunity to brief the questions” at issue (Motion at 5) is also baseless: Respondents submitted a 30-page brief opposing Complainant’s Motion for Partial Decision regarding the affirmative defenses and did not request additional pages, a sur-reply, or complain about the sufficiency of their briefing parameters until after the Presiding Officer issued the Order.

For these reasons, the Order is not an improper advisory opinion and Respondents' request for reconsideration has no merit.

ii. The Order Accurately States and Applies the Substantive Law.

Respondents appear to take issue with two substantive rulings contained within the Order: (1) whether the Commission has jurisdiction under 46 U.S. Code Section 41102(c) to regulate conduct outside the context of in-port activities (Motion at 3–4) and (2) the scope of the Commission's jurisdiction over claims arising in the context of service contracts (Motion at 4). Despite Respondents' disagreement, the Order is correct on both of these points.

First, Respondents claim that the Order erred in its discussion of the scope of 46 U.S. Code Section 41102(c), but it is Respondents who are wrong. In opposing Complainant's motion for partial decision on the pleadings, ***Respondents specifically argued that Complainants' space allocation claims under Section 41102(c) had no basis under the statute*** because they believe that Section relates only to "services performed at the terminal" including the "receiving, handling, storing, or delivering property" and not to general "transportation" functions such as space allocation, ***rates***, fares, and other charges. (Respondents' Opp. to Mot. for Partial Decision, FMC Docket No. 17, at 26 (emphasis added).) Complainant's reply brief rejected such a limitation, arguing that Section 41102(c) is not so limited and properly applies to conduct such as space allocation that occurs away from the terminal. (Complainant's Reply in Supp. of Mot. for Partial Decision, FMC Docket No. 21, at 5–7.) This issue, therefore, was squarely presented to the Presiding Officer by the parties.

In deciding whether Section 41102(c)'s reach is limited solely to services performed at the terminal or extends to additional conduct, the Order properly analyzed a recent Commission Interpretive Rule, which stated:

In addition, although the Commission has not elected to issue a legislative rule in this case, the Commission disagrees with the contention that it lacks the authority to issue rules prohibiting practices or regulations determined to be unjust or unreasonable. The Commission has broad general rulemaking authority under 46 U.S.C. 305, which provides that the Commission “may prescribe regulations to carry out its duties and powers.” The Commission has relied on this authority and § 41102(c) to issue regulations prohibiting certain practices determined to be unjust and unreasonable, and the D.C. Circuit has affirmed this authority.

(Order at 11–12 (quoting *Interpretive Rule on Demurrage and Detention under the Shipping Act*, 85 Fed. Reg. 29638, 29644 (May 18, 2020) (footnotes omitted).) The Order further analyzed *National Customs Brokers & Forwarders Association of America, Inc. v. United States*, 883 F.2d 93, 98–99 (D.C. Cir. 1989), which upheld the Commission’s authority to regulate conduct under Section 10(d)(1) of the Shipping Act (now Section 41102(c)) in contexts outside of physical services performed at the terminal. (Order at 11.) The Order ultimately concluded that, despite the breadth of conduct included within the scope of Section 41102(c):

whether Respondents are regulated entities that engaged in an unjust or unreasonable practice or regulation related to receiving, handling, storing, or delivering property on a normal, customary, and continuous basis is primarily a factual issue that would be premature to determine at this stage of the proceeding, prior to discovery. Like the other issues raised by the pleadings motion, ***the ultimate determination will not be made until after discovery and briefing.***

(Order at 9–10.) In sum, the Order provided a thorough analysis of the scope of Section 41102(c) in direct response to arguments made by both parties on the issue. Respondents’ Motion now complains that the logic of *National Customs Brokers & Forwarders Association of America* was limited to freight forwarders (Motion at 3–4), but that argument misses the mark: although that case happened to involve a freight forwarder, the portion of Section 1709(d)(1) analyzed in that case, and 46 U.S. Code Section 41102(c), applicable here, *are not so limited*, and each expressly regulate common carriers (including vessel-operating common carriers such as Respondents) relating or connected to the receiving, handling, storing, or delivering of property. (Order at 11.) Thus, it would be improper to limit *National Customs Brokers & Forwarders Association of*

America only to freight forwarders because that decision stands more generally for the Commission's broad authority to regulate the receiving, handling, storing, or delivering of property, and such authority is *not limited* exclusively to conduct undertaken at the terminal.

Second, Respondents take issue with the Order's discussion of Complainant's Shipping Act claim under 46 U.S. Code Section 41104(a)(2)—which *by its express terms* prohibits common carriers from providing service in the liner trade that is not in accordance with their service contracts—and 46 U.S. Code Section 40502(f), which states that the exclusive remedy for a breach of contract claim with respect to a service contract is an action in an appropriate court. In resolving this issue, the Order correctly noted that the ***Respondents did not move to dismiss Complainant's claims for lack of jurisdiction under 46 U.S. Code Section 40502(f)***, and in that context the Order explicitly ***did not make a determination*** as to any limitation that Section 40502(f) may impose on the scope of statutory Shipping Act claims under Section 41104(a)(2). Instead, the Order properly looked to the primary Commission precedents on this issue, including *Cargo One, Inc. v. Cosco Container Lines Co., Ltd*, 28 S.R.R. 1635, 2000 WL 1648961 (FMC Oct. 31, 2000), noting that the Commission there “stated that it was ‘Congress’ intention that the Commission is the appropriate forum for resolving allegations of violations of certain section 10 Prohibited Acts, ***even if they arise from transportation governed by a service contract.***” (Order at 6 (quoting *Cargo One, Inc.*, 2000 WL 1648961, at *12) (emphasis added).) The Order also properly cited *Cargo One*'s directive that “the more appropriate test” of whether a particular claim is actionable before the Commission “is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act.” *Id.*

The Order also properly analyzed the Commission's subsequent binding decision in *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 2006 WL 2007808 (FMC

May 10, 2006), relying on the Commission’s explicit confirmation there of its jurisdiction over conduct pursuant to service contracts:

Although service contracts are between private parties, the *Commission regulates the content as well as the conduct under the contracts*. The regulation of service contracts is akin to the regulation of agreements, because the Commission is the regulatory body charged with administering the Shipping Act and, therefore, must ensure that service contracts and agreements are filed *and implemented* pursuant to the statutory requirements and Commission regulations.

(Order at 7 (quoting *Anchor Shipping*, 2006 WL 2007808, at *8 (emphasis added).)

As demonstrated above, Respondents have cited to no error of law in the Order regarding the Commission’s jurisdiction over claims that involve a service contract, where the Presiding Officer simply found, based on the procedural posture of Complainant’s motion and the lack of a motion to dismiss by Respondents, that “determination of whether this affirmative defense is plausible depends on whether the evidence involves elements particular to the Shipping Act or just a breach of contract” (Order at 8.) *Respondents cite to no precedent* giving rise to a substantial difference of opinion on this issue.⁵

C. Respondents’ Cited Cases Are Inapposite.

As set forth above, the posture of this proceeding does not justify the relief sought in the Respondents’ Motion. This conclusion is made clear by the three scant case citations made by Respondents in support of their Motion for an Interlocutory Appeal. Tellingly, Respondents relegate their entire discussion of these cases to a footnote and offer *zero analysis* of how those cases purportedly support Respondents’ position. (Motion at 2.) Suffice it to say, they do not.

⁵ Moreover, the Presiding Officer’s reasoning on this issue is consistent with *Cargo One*’s analysis of whether “some extraordinary aspects of the allegations distinguish it substantially from a breach claim” where, as the Order notes, Complainant has alleged conduct not limited to the shipping contracts between the parties, but that involved systematic and repeated conduct taken against Complainant as well as other shippers. (Order at 7–8 (quoting Complainant’s Complaint at 6).)

First, in *Intermodal Motor Carriers Conference v. OCEMA*, FMC No. 20-14, 2023 WL 1963455 (ALJ Feb. 6, 2023), the Presiding Officer recognized that a party is permitted to appeal the granting of summary decision as a matter of right but that an appeal from an order *denying* summary decision is, as here, typically “not appealable as the case continues to a decision on the merits.” *Id.* at *58. Plainly, that baseline rule defeats Respondents’ Motion here. A deviation from the baseline rule in *Intermodal* was appropriate only because, as the Presiding Officer there reasoned, since the respondent had the right to appeal a part of the Presiding Officer’s decision by right, it was proper, in the interests of judicial efficiency and maintaining the proceeding in a consolidated state, that all parties could simultaneously appeal the otherwise unappealable aspects of the Presiding Officer’s decision. *Id.* at *59. In other words, because at least one issue gave rise to an immediate appeal as of right, it was prudent for the Commission to review other issues at the same time, even though such issues standing alone ordinarily would *not* be appealable as of right. Conversely, the Respondents here seek to appeal a motion that is wholly unappealable as a matter of right and whose appeal offers no judicial efficiency. Accordingly, *Intermodal* provides no support for the Respondents’ request for an interlocutory appeal here.

In the next decision relied upon by Respondents, *SSA Terminals LLC*, the Presiding Officer permitted an interlocutory appeal from a determination concerning sovereign immunity. *SSA Terminals LLC*, 2010 WL 8367622, at *5. In that case, the Presiding Officer held that an extraordinary interlocutory appeal was justified because the decision could implicate constitutional rights if the entities were forced to defend against a complaint but were later found to be immune from suit. *Id.* Constitutional issues such as sovereign immunity are not present here, so *SSA Terminals* provides no support to Respondents.

Finally, in the third case cited by Respondents, the Presiding Officer allowed an interlocutory appeal of the denial of a motion to approve a joint settlement where it found the terms of the settlement confusing. *Wan Hai Lines, Ltd. – Possible Violations of 46 USC § 41102(c)*, No. 21-16, 2023 WL 1963464, at *1 (FMC Feb. 9, 2023). That case obviously involved an attempt by the parties to fully resolve their issues, which differs significantly from the present proceeding, where the parties are continuing to litigate their disputes.

For all of these reasons, interlocutory appeal is inappropriate and Respondents' Motion should be denied.

II. Respondents' Motion for Reconsideration Fails.

Respondents' Motion for Reconsideration neither sets forth the standard of review applicable to such a motion nor provides any justification for reconsideration of the Order. Although prior decisions reflect that “[a] presiding officer may properly reconsider and reverse interlocutory rulings made prior to the initial decision,” *Carolina Marine Handling, Inc. v. S.C. State Ports Auth. et al*, FMC No. 99-16, 2000 WL 1072111, at *1 (ALJ July 12, 2000), the Commission's Rules of Practice and Procedure (the “Rules”) do not specifically provide for reconsideration except with respect to a final decision or order by the Commission itself, which is inapplicable here. *See* 46 C.F.R. §§ 502.261–262; *see also* *Odyssea Stevedoring of P.R., Inc. v. P.R. Ports Auth. Int'l Shipping Agency Inc.*, FMC Nos. 02-08, 04-01 & 04-06, 2007 WL 666764, at *4 (ALJ Feb. 12, 2007).

Under Rule 12 of the Commission's Rules, “for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. In federal courts, Rule 54(b) of the Federal Rules of Civil Procedure provides that “any order or other decision, however designated, that adjudicates fewer than all the claims or the rights and liabilities of fewer than all

the parties . . . may be revised at any time before the entry of a judgment adjudicating all the claims and all the parties' rights and liabilities.” Fed. R. Civ. P. 54(b). As the Commission’s former Chief ALJ explained, “it is consistent with sound administrative practice to follow Civil Rule 54(b) in Commission proceedings” in “entertain[ing] a motion for reconsideration of an interlocutory order.” *Mitsui O.S.K. Lines, Ltd. v. Global Link Logistics, Inc.*, FMC No. 09-01, 31 S.R.R. 1432, slip op. at 5–6 (ALJ Aug. 13, 2010).

“The standard for determining whether or not to grant a motion to reconsider brought under Rule 54(b) is the ‘as justice requires’ standard . . . , which requires determining, within the Court’s discretion, whether reconsideration is necessary under the relevant circumstances. Considerations a court may take into account under the ‘as justice requires’ standard include whether the court patently misunderstood the parties, made a decision beyond the adversarial issues presented, made an error in failing to consider controlling decisions or data, or whether a controlling or significant change in the law has occurred. Furthermore, the party moving to reconsider carries the burden of proving that some harm would accompany a denial of the motion to reconsider: In order for justice to require reconsideration, logically, it must be the case that, some sort of injustice will result if reconsideration is refused. That is, the movant must demonstrate that some harm, legal or at least tangible, would flow from a denial of reconsideration.”

Id. (quoting *In Def. of Animals v. Nat’l Insts. of Health*, 543 F. Supp. 2d 70, 75–76 (D.D.C. 2008)) (citations and most internal quotation marks omitted in original). In general, “a court will grant a motion for reconsideration of an interlocutory order **only** when the movant demonstrates: (1) an intervening change in the law; (2) the discovery of new evidence not previously available; or (3) a clear error in the first order.” *Stewart v. Panetta*, 826 F. Supp. 2d 176, 177 (D.D.C. 2011) (emphasis added) (citation omitted). “Reconsideration will generally be denied unless the moving party can point to controlling decisions or data that the court overlooked.” *Shrader v. CSX Transp., Inc.*, 70 F.3d 255, 257 (2d Cir.1995). “However, in order to promote finality, predictability and economy of judicial resources, as a rule [a] court should be loathe [sic] to [revisit its own prior decisions] in the absence of **extraordinary circumstances** such as where the initial decision was clearly erroneous and would work a manifest injustice”, and “[t]he moving party has the burden

of showing that reconsideration is warranted, and that *some harm or injustice would result* if reconsideration were to be denied.” *Brookens v. United States*, 308 F.R.D. 14, 15 (D.D.C. 2015) (emphasis added and internal quotation marks and citations omitted).

Here, the Respondents not only ignore the standard of review for a motion to reconsider, but also fail to identify any extraordinary circumstances or satisfy even one of the bases to grant such a motion.

A. Respondents Have Failed to Provide Any Procedural Basis for the Presiding Officer to Reconsider the Order.

The Motion does not assert any changes in law or new evidence not previously available to support its Motion for Reconsideration. This leaves only one possible basis for the Motion: a “clear error” in the Presiding Officer’s Order that could “work a manifest injustice on the parties” as the basis for the relief requested.

At the outset, no manifest injustice could result from the present Order, as *Respondents won the underlying motions*, Respondents’ defenses survive to trial, and Respondents ask for reconsideration only of portions of the Order that Respondents themselves describe as mere “dicta” and non-controlling, “advisory” legal analysis. (Motion at 2, 5.) Further, no manifest injustice can arise here because, as the Respondents clearly recognize, the parties will soon have an opportunity to present full arguments, with the benefit of discovery, on these issues in a few short months pursuant to the controlling Scheduling Order. (Motion at 5 (“Respondents will repeat their arguments, in full this time, in their brief (many months hence)”).) The requirement to complete discovery, common to every FMC litigation that is not settled or dismissed, does not represent a manifest injustice, especially where (1) Respondents did not move to dismiss the Complaint, making discovery in this proceeding inevitable, (2) the parties carefully negotiated, *at Respondents’ urging*, an extensive Stipulated Preservation Plan for Complainant’s documents and

data as well as an extremely detailed ESI Protocol to govern *both sides'* collection and production of discovery in this proceeding, and (3) the Presiding Officer has already resolved a motion for protective order filed *by Respondents* that limited the scope of Respondents' discovery obligations. (Order at 15–19.)

B. Respondents Have Failed To Identify Any Clear Error of Law.

As discussed above, Respondents have failed to point to *any* legal error, let alone a “clear error of law” that would warrant reconsideration. The Order is not an inappropriate advisory opinion. It does not improperly assert jurisdiction beyond the jurisdiction inherent in the plain language of the Shipping Act or expressly acknowledged in prior binding decisions of the Commission or federal courts, whether with respect to issues of space allocation or rates or Shipping Act claims that arise in the context of service contracts.

In sum, Respondents misunderstand the nature of a motion for reconsideration and offer no basis to grant the Motion. No manifest injustice would result from continuing the course of discovery and merits-based briefing in this proceeding, because the scope of discovery has already been limited by the Order, the timeframe for a full merits-based decision is short, and the Presiding Officer has not made any final determinations regarding the rights, claims, or defenses of the parties. Further, no clear error of law exists in the Presiding Officer's Order. For these reasons, the Respondents' Motion for Reconsideration should be denied.

CONCLUSION

For the reasons stated above, Complainant respectfully requests that the Presiding Officer deny Respondents' Motion for Reconsideration or Leave to File an Interlocutory Appeal.

Dated: October 30, 2023

Respectfully submitted,

HUTH REYNOLDS LLP



Karl C. Huth

(212) 731-9333

huth@huthreynolds.com

Matthew J. Reynolds

(646) 872-9353

reynolds@huthreynolds.com

Gregory A. Crapanzano II

(917) 575-3440

gcrapanzano@huthreynolds.com

41 Cannon Court

Huntington, NY 11743

*Counsel for Complainant 20230930-DK-
Butterfly-1, Inc., formerly known as Bed Bath &
Beyond Inc.*

Certificate of Service

I hereby certify that I have this day served the foregoing document and its exhibits upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of those documents to their counsel of record listed below:

Matthew J. Thomas
BLANK ROME LLP
1825 Eye Street N.W.
Washington, DC 20006
(202) 772-5971
Matthew.Thomas@BlankRome.com

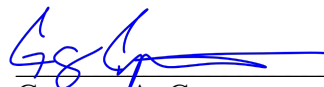
Keith B. Letourneau
BLANK ROME LLP
717 Texas Avenue, Suite 1400
Houston, Texas 77002
(713) 402-7640
Keith.Letourneau@BlankRome.com

Emma C. Jones
BLANK ROME LLP
1825 Eye Street N.W.
Washington, DC 20006
(202) 420-2285
Emma.Jones@BlankRome.com

Rebecca A. Fenneman
Eric C. Jeffrey
Jeffrey/Fenneman Law + Strategy, PLLC
(202) 904-2301
700 12th Street, NW Suite 700
Washington, DC 20005
RFenneman@JeffreyFenneman.com
EJeffrey@JeffreyFenneman.com

Counsel for Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited

Dated: October 30, 2023



Gregory A. Crapanzano II
*For Complainant 20230930-DK-Butterfly-1,
Inc., formerly known as Bed Bath & Beyond
Inc.*